attempt in this direction. The Commission recommended the establishment of special financial institutions to meet the long-term requirements of industry. In 1929, as we have already noted before, the government appointed the ICBEC under the Chairmanship of Sir B.N. Mitra. This Committee studied the problems of industries in India and strongly emphasized the formation of specialized institutions to provide long-term finance to industries. The various Provincial Banking Enquiry Committees appointed in 1929 also stressed the need for industrial finance, and at least five of them, namely, the Provincial Banking Enquiry Committees of Assam, Bengal, Bihar, the Central Provinces, and the United Provinces recommended the establishment of Provincial Industrial Corporations. The ICBEC in its report recommended the formation of Provincial Industrial Corporations, but at the same time did not rule out the formation of a corporation for the whole of India.

When India became independent, there was no specialized financial institution in the country to meet the long-term financial requirements of industries. The Indian capital market had all the characteristics of an underdeveloped economy. The existing financial institutions were not in a position to provide even a fraction of the total capital required for industrial development. To fill this gap, the Government of India set up a number of financial institutions which came to be known as specialized or term financing institutions. The first specialized financial institution established was the Industrial Finance Corporation of India (IFCI) which came into being in 1948. The initiative for drafting the Bill for the establishment of an industrial finance corporation was taken by C.D. Deshmukh when he was Governor of the RBI. The Bill was introduced in the Constituent Assembly of free India in November 1947 by the then Finance Minister, R.K. Shanmukham Chetty and passed in February 1948. It received the assent of the Governor General in March 1948, and the IFCI started functioning from July 1, 1948.

At the time of the enactment of the Industrial Finance Corporation Bill in 1948, it was recognized that a corporation for the whole of India would not be able to cater to the capital needs of small and medium industrial concerns scattered all over the country. Suggestions for the setting up of Provincial Finance Corporations were received from a large number of members in the Central Constituent Assembly. In September 1949, the